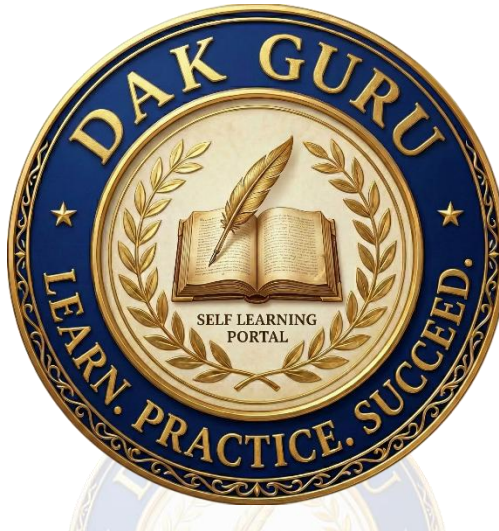

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FINANCIAL HAND BOOK

VOLUME II

Postal Accounts, Pension Payments & Statutory Compliance
Comprehensive Study Material for LDCE IP & PS Group 'B' Examinations

Study Material

Updated 2026

*Revised in line with CSI / 15-digit CGA accounting, CCS (Pension) Rules 2021,
CGST Act 2017 (as amended) and latest Government orders*



DISCLAIMER

Please read carefully before use

This booklet has been prepared by **Dak Guru** strictly as a self-learning aid for aspirants of the Limited Departmental Competitive Examination (LDCE) for Inspector Posts (IP) and the PS Group 'B' Examination conducted by the Department of Posts, Government of India.

It is a fresh, independently-authored study compilation based upon the **Postal Financial Hand Book, Volume II** published by the Department of Posts, supplemented and updated with reference to the latest in-force Rules, Manuals, gazette notifications, Government Office Memoranda, departmental circulars and Standard Operating Procedures applicable to the Core System Integrator (CSI / SAP) accounting environment.

Every reasonable effort has been made to ensure that the contents reflect the most recent amendments available in the public domain as on the date of compilation. However, statutory provisions, monetary ceilings, rates of tax and interest, and procedural instructions are subject to frequent revision by the competent authorities. Wherever a provision is known to have been amended or is sensitive to currency, a **Currency Flag** has been inserted for the reader's attention.

This material is intended for **examination preparation only** and does not constitute an official publication, legal advice, or an authoritative statement of departmental rules. In case of any conflict, ambiguity or doubt, the reader must invariably refer to the **original Acts, Rules, Manuals and Gazette Notifications** of the Government of India and the orders issued by the Department of Posts, which alone shall prevail.

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How to read the Currency Flags

A ⚡ **Currency Flag** marks any figure, rate, ceiling or procedure that has recently changed or is liable to change. The position stated is the latest the compiler could verify; always re-confirm against the source order cited before relying on it in service.

CHAPTER I • Introductory — Scope, Definitions & Heads of Account

1. Scope and Applicability

The Financial Hand Book, Volume II prescribes the procedure governing the **initial and compiled accounts** of Post Offices (PO) and the Railway Mail Service (RMS) branches of the Department of Posts. It supplements the general rules of the Receipts and Payments Rules and the Central Treasury Rules with the special rules of the Department, and now describes the procedure for both **off-line and on-line (CSI/SAP) transactions** in regard to receipt, custody and disbursement of money, maintenance of accounts and rendition of accounts to the Ministry of Finance through the Controller General of Accounts (CGA).

In the present accounting architecture, every transaction is **classified at the point of source**. The cash account is therefore a classified abstract in which each transaction is mapped to the **15-digit Head of Account** of the Department of Posts as approved by the CGA.

★ EXAM POINT

FHB Vol II deals with **PO and RMS accounts**. For definitions not given here, refer to **Chapter I of FHB Volume I** and the **P&T Manual Volume V**.

Any addition, deletion or correction to the Hand Book is issued by the **PA Wing of the Postal Directorate** only after approval of the **Secretary (Posts) / Chief Accounting Authority**.

2. Important Definitions

The following definitions are frequently tested and recur throughout the Hand Book:

- **Drawing & Disbursing Officer (DDO):** the authority in a unit of the Department who draws bills, receives and disburses money, makes payments and maintains and submits accounts to the CGA through the Circle Postal Accounts Office.
- **Non-Cheque Drawing DDOs (NCDDOs):** DDOs not vested with cheque-drawing powers — e.g. Regional Office (RO), Circle Office (CO), PLI Directorate and Head Record Office (HRO) in RMS.
- **Head of Postal Accounts Office:** the head of an Accounts Office subordinate to the Head of Circle, responsible for scrutiny, review, monitoring and reconciliation of e-accounts rendered by DDOs/NCDDOs and their submission to the CGA.
- **The “Bank”:** any office or branch of the Banking Department of the Reserve Bank of India (RBI), or any branch of the State Bank of India (SBI) acting as agent of the RBI.

- **The Secretary:** the Secretary, Department of Posts.
- **The Director General:** the Director-General, Department of Posts.
- **The Department / The Government:** the Department of Posts / the Central Government respectively.
- **Head of a Circle:** a Chief Postmaster General (CPMG) of a Circle, or any other officer specifically declared as such by the competent authority.
- **Head of a Department:** an authority declared under S.R. 2(10); the President has declared the Director-General of Posts to be Head of the Department.
- **Treasury:** includes a sub-Treasury.
- **Postmaster-General:** includes CPMG, PMG, Regional PMG and Director of Postal Services (DPS).
- **Superintendent:** includes Superintendent (SP) and Senior Superintendent (SSP) of Post Offices, and Superintendent (SRM) and Senior Superintendent (SSRM) of RMS.
- ▶ **Offices in the Postal & RMS network**
 - **Head Post Office (HPO):** the account office of sub-offices and branch offices; its officer-in-charge is the Head Postmaster. The HPO is the **primary accounting unit** of the Department.
 - **General Post Office (GPO):** the first-class Head Office situated at the headquarters of the Head of a Circle (or, where there is more than one, the one attached to the HQ).
 - **Sub-Office (SO):** a Post Office subordinate to and in account with a Head Office; its in-charge is the Sub-Postmaster (SPM).
 - **Branch Office (BO):** a Post Office of lower status than a sub-office, in direct account with a Head or sub-office; its in-charge is the Branch Postmaster (BPM).
 - **Transit Office:** a Post Office on a line of through mail communication that receives and sorts bags for offices in advance, without opening them.
 - **Returned Letter Office (RLO):** established at the headquarters of a Postal Circle to deal with undeliverable / un-returnable articles.
 - **Office of Exchange / Foreign Post Office (FPO):** an office of exchange of foreign mails; in an FPO the assessment of customs duty on foreign mails is also carried out.
 - **Mail Office (RMS):** a stationary office of the RMS, of two kinds — **Sorting Mail Office (SMO)**, in charge of the Head Sorting Assistant (HSA), and **Transit Mail Office (TMO)**, in charge of a Mail Agent / Mail Guard (no sorting of letters).

- **AMPC / CRC:** Automatic Mail Processing Centre (high-speed sorting machines) / Computerized Registration Centre (registration processing on computers).
- **Corporate Mail Office / Bulk Mail Centre (CMO/BMC):** opened in big cities for bulk mailers — a firm capable of posting **5,000 unregistered** or **250 registered** articles at a time.
- **Head Record Office (HRO):** a stationary office at the HQ of an RMS Division where salary and contingent bills for the entire Division are prepared.

► Bags and accounting documents

- **Account Bag:** used between a sub-office and its Head Office to enclose cash bags, articles and documents (HO → SO: SO Slip; SO → HO: SO Daily Account). Account bags are **due bags**.
- **Branch Office Bag:** used between a branch office and its account office; also a **due bag**.
- **Cash Bag:** used to enclose remittances of cash between Post Offices. Cash bags are **not due bags**.

MEMORY AID

Due bags vs. not-due bags: Account Bag and Branch Office Bag are **DUE** (their non-receipt must be noticed and acted upon); the Cash Bag is **NOT a due bag**.

3. Heads of Account — the 15-digit CGA structure

Under the CSI/SAP environment, every transaction is classified to a **15-digit Head of Account** approved by the CGA. The structure is built up as follows:

Tier of Classification	Digits	Illustration for DOP
Major Head	4	1201 – Postal Receipts
Sub-Major Head	2	00
Minor Head	3	101, 102, 108, 200, 800, 201
Sub-Head	2	Scheme / programme
Detailed Head	2	Sub-scheme
Object Head	2	Object of expenditure

★ EXAM POINT

The **first four digits** of the 15-digit code are the **Major Head**. For Postal Revenue the Major Head is **1201**; the Sub-Major Head for DOP is **00**.

Tier of Classification	Digits	Illustration for DOP
Minor Heads 101, 102, 108, 200, 800, 201 accommodate, respectively, Traditional & BD product revenue, commission on Money Order / IPO, commission on PRRS, other services (SB & Certificates management), other receipts, and net receipts from other postal administrations.		

4. Digital Payment Modes

Funds in a digital payment flow directly from one account to another — faceless, paperless and cashless. The Department accepts and operates the following modes:

Mode	Expansion / Meaning
BHIM	Bharat Interface for Money
BHIM Aadhaar (AEPS)	Aadhaar Enabled Payment System
Bharat QR Code	Bharat Quick Response Code
UPI	Unified Payments Interface
USSD	Unstructured Supplementary Service Data
IMPS	Immediate Payment Service
Debit / Credit Cards	Electronic cards
NEFT	National Electronic Funds Transfer
RTGS	Real Time Gross Settlement

CHAPTER II • Supply of Stamps & Philately

Supply of Stamps

5. Fixation of stock limits. Each office holds a stock of ordinary postage stamps, revenue stamps and saving certificates of such denominations and aggregate value as may be fixed for it. The minimum and maximum stock limits are fixed by:

- **Non-Gazetted Postmasters** — by the **Divisional Head**;
- **Group 'B' Postmasters** — by the **Director of Postal Services (DPS)**;
- **Group 'A' Postmasters** — by the **CPMG / PMG**.

NOTE

The word “stamps” in this context includes **postage stamps, non-postal stamps, envelopes and post cards**.

6. Procurement by Head Post Offices. Head Post Offices obtain their supply of stamps — not exceeding their authorised maximum stamp balance — from the **Postal Stores Depot (PSD)**. Revenue stamps are obtained from Treasuries on payment of cash.

CURRENCY FLAG

The traditional **Central Stamp Depot (CSD)** nomenclature in the old Hand Book now reads **Postal Stores Depot (PSD)**, and procurement, sales, inventory, transfer and verification follow an **end-to-end electronic process** in the CSI environment.

Source: revised Postal Financial Hand Book, Volume II (Department of Posts) — verify the depot designation applicable to your Circle.

7. Supply from the Stamp Depot. On receipt of stamps and postal stationery from the PSD, the Head Postmaster (or other authorised officer) checks and verifies the articles against the invoice and returns one acknowledged copy of the invoice to the PSD **not later than 3 days** of receipt. The face value is entered in the stock register as “Receipt from the Stores Depot.”

- The PSD furnishes to the Circle Postal Accounts Office (CPAO), in e-format, the data of stamps supplied to each HPO in a month, to ensure that the supply has been received and accounted for in the stock register **within 3 days** of each supply.
- **Unserviceable / obsolete** stocks are exchanged for serviceable ones of the same kind from the PSD; **surplus** stocks are returned to the PSD for exchange with the denominations actually required.

8. Commemorative stamps. Commemorative stamps are supplied by the **Nasik Security Press** to designated Philatelic Bureaus and Presidency Post Offices.

1. The Press despatches supplies to the designated office accompanied by an invoice in **triplicate**; one copy is sent direct to the Postal Accounts Office of the receiving office.
2. At the receiving office the packets are opened in the presence of the Postmaster or the group officer concerned.
3. **Two** acknowledged copies of the invoice (marked “first copy” and “second copy”) are returned to the Press immediately after opening and verification.

9. Loss or damage of stamps. Where postage stamps or stationery are lost, damaged, or become useless or obsolete, the value is **written off** under the orders of the competent authority and the stock account updated. In every write-off, a copy of the order is communicated to the **PAO** with a copy to the **PSD**. Losses in transit are dealt with under the “Rules for the Supply and Distribution of Stamps.”

Philately

10. Philately. The art of systematically collecting and studying stamps and postal stationery, including research activities on stamps and other philatelic products.

► Types of stamps

- **Definitive stamps:** issued for day-to-day use as postage; **reprinted** when the stock is exhausted.
- **Commemorative stamps:** issued to commemorate events, personalities, themes, flora and fauna; **not reprinted** once exhausted.

11. Philatelic Bureau. A branch of a HO or SO set up to deal with the receipt and sale of all philatelic items — special / commemorative stamps, first-day covers, special covers, new definitive issues and new stationery. It provides special cancellations and maintains **Philatelic Deposit Accounts**.

12. Philatelic Counter. A counter for the sale of philatelic items, functioning in every Head Post Office; it offers registration for opening a Philatelic Deposit Account with material supplied by the parent bureau.

13. Philatelic Deposit Account. May be opened at a Philatelic Bureau or a Philatelic Counter of a HO. A security deposit of ₹ 200 is prescribed for the account.

⚡ CURRENCY FLAG

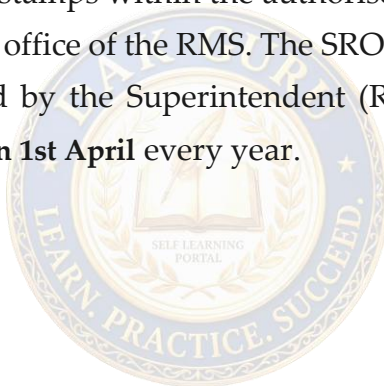
The ₹ 200 Philatelic Deposit Account security and other philatelic charges are administratively fixed and revised by the Directorate from time to time. Confirm the current amount against the latest Directorate philately circular before quoting it as a live figure.

14. Special Cover. For an event not nationally important enough to warrant a commemorative / special stamp, the Department issues a **Special Cover** that can be cancelled with a special cancellation at the post office.

15. "My Stamp". The brand name for personalised sheets of commemorative postage stamps of India Post, personalised by printing a thumbnail photograph of the customer along with images of institutions, artwork, heritage buildings, tourist places, wildlife, etc.

Supply to RMS Offices

16. RMS supply. The supply of stamps within the authorised limit is made by the designated post office as an **advance** to a mail office of the RMS. The SRO / HRO having a Mail Office under it grants a receipt, countersigned by the Superintendent (RMS), for the value of the stamps supplied; the receipt is **renewed on 1st April** every year.



CHAPTER III • Revenue Receipts

Postal Revenue

17. Classification of revenue. The Department earns revenue under **Major Head 1201** (the first four digits of the 15-digit CGA Head of Account). It comprises the sale of products and services across segments — mail operations (Traditional and Business Development), Postal Savings Bank operations, and other allied services.

Revenue accrues mainly through the sale of stamps and stationery, postage realised in cash, franking, money remittance commission, agency services and premium products. Each receipt is captured at the point of source in the **Point of Sale (POS)** module and auto-classified to the correct head.

18. Franking services. A franking machine impresses postage in lieu of stamps. The licensee deposits an advance; the machine is reset for the value paid, and the impressions represent prepayment of postage. Franking is permitted to departmental counters and to licensed private users under prescribed safeguards.

19. Book Now Pay Later (BNPL). A credit facility for bulk and corporate customers permitting booking of articles against a security deposit / running advance, with periodic billing instead of payment at the time of each transaction. The facility is governed by the terms of the customer agreement and departmental BNPL guidelines.

NOTE

BNPL converts the usual “pay-first” postal transaction into a deferred-payment arrangement for approved bulk customers — closely watch the security-deposit and billing-cycle conditions, which are examiner favourites.

20. Unpaid and short-paid postage. Where an article is posted without prepayment or with insufficient postage, the deficiency (and any prescribed penalty) is realised from the addressee on delivery and accounted for through the **Unpaid Postage Abstract**. The procedure is dealt with in detail in Chapter IV.

21. Postal receipt (e-Money Receipt). Every sum received is acknowledged by a receipt. In the CSI environment the manual money receipt is replaced by the **system-generated e-Money Receipt (Form ACG-67)**, which bears a unique number and is reflected instantly in the day’s accounts.

★ EXAM POINT

Major Head for **Postal Receipts** is **1201**; for **income-tax recoveries** it is **0021**; for **GST**, the relevant CGST/SGST/IGST heads apply.

The **e-Money Receipt** is **Form ACG-67**; the Treasurer's Cash Book is **ACG-2** and the Post Office Cash Account is **ACG-5**.



CHAPTER IV • Post Office Accounts

The Treasurer

22. Duties and responsibilities of the Treasurer. In every Head Office a Postal Assistant is selected as **Treasurer**. All money, postage stamps, reply coupons, British and Indian Postal Orders, and other articles of property and documents required to be kept in the office safe are in the **joint custody of the Postmaster and the Treasurer**, each of whom holds a key of the safe.

It is the duty of the Treasurer to supply funds from the office cash to subordinate offices, postmen and village postmen, and to the several departments of the office; to receive and keep safe custody of all cash, stamps and valuables; and to maintain the **Treasurer's Cash Book**.

NOTE

Where a separate **Assistant Treasurer** is sanctioned, that official is responsible for the sale, custody and distribution of stamps, stationery, reply coupons and saleable publications, kept in a separate safe in the joint custody of the Postmaster and the Assistant Treasurer.

Cash Book & Daily Accounting

23. e-Treasurer's Cash Book (ZFBL3N). In CSI offices the Treasurer's Cash Book is maintained electronically. At the start of the business day the **DOP Cash opening balance** displayed in transaction ZFBL3N is tallied with the physical balance; receipts and payments through the day are captured at source and the closing balance is struck and verified.

24. Balancing the Cash Book. The cash book is balanced **daily**. The closing cash balance as per the system is verified against the physical cash and valuables in the safe; any difference is reconciled and posted on the same day before close of business.

25. Authorisation of payments. No payment is made except on a valid claim duly authorised by the competent officer. Vouchers are passed for payment, entered in the accounts, and supported by the prescribed acquittance.

26. Bank account reconciliation. Drawings from and remittances to the Bank/Treasury are reconciled with the Bank scroll / pass-book. The Head Office cash book figures of "Drawn from Bank" and "Remitted to Bank" are compared with the corresponding daily totals appearing in the Bank pass-book / scroll.

27. Daily adjustment of Treasurer's accounts. At the close of each day, the Treasurer's account is adjusted with the Postmaster: cash and valuables handed over and taken over are reconciled, and the joint custody is re-established under lock and key.

Payments

28. Payment of money. Payments are made only against duly authorised vouchers and proper acquittance. Payments to RMS Head Record Clerks, departmental telegraph / radio offices, and other units follow the prescribed procedure, with each payment classified to the correct head of account at source.

29. Verification of the Daily Transaction Report (DTR). The figures of POS shift reports are cross-verified against the voucher postings for the day. Any variation is reconciled and corrected immediately so that system and physical figures agree.

Consolidation & Returns

⚡ CURRENCY FLAG

Major procedural change under CSI: because accounting is centralised at the transaction level, there is **no requirement of consolidation of accounts at the sub-office and head-office level** for POS and DPMS transactions — classification to the 15-digit head happens automatically at source.

Voucher posting continues only for transactions of peripheral systems (Finacle, McCamish, WUIMT, MMTS, etc.) until they are fully integrated. Source: DOP SOP for accounting in CSI offices.

30. Daily Transaction Report (ZFR DAY_NEW). The consolidated daily transaction report is generated through transaction **ZFR DAY_NEW**, capturing all receipts and payments classified at source. It replaces the manual consolidation of SO and BO summaries in the legacy system.

31. Unpaid Postage Abstract (ACG-45). Amounts realised on unpaid / short-paid articles are abstracted in the **Unpaid Postal Abstract Register (Form ACG-45)** and credited to the appropriate revenue head.

32. Head Office Classified Cash Book (S_PL0_86000030 / ACG-4). The Head Office classified cash book — maintained as **Form ACG-4** and viewable through T-code **S_PL0_86000030** — presents all transactions of the HO and its subordinate offices classified to the 15-digit heads, forming the basis of the monthly cash account.

33. Schedules and e-schedules. Receipts and payments under each head are supported by **schedules**; in CSI these are generated electronically (**e-schedules**) and reconciled with the classified cash book before submission.

34. Submission of the classified cash account to the PAO. The Head Office submits its monthly **classified cash account** (with e-schedules and the cash balance report) to the Circle Postal Accounts Office (PAO) by the prescribed date for incorporation into the accounts rendered to the CGA through PFMS / e-Lekha.

March, Balances & Corrections

35. Statement of balances. A **statement of balances** is prepared periodically, showing the balances of remittances, deposits, advances and suspense items, duly reconciled.

36. Supplementary accounts for March. The accounts of March are kept open through **Supplementary periods** to incorporate adjustments after the close of the financial year. PAOs generate the CSI transactions, classify them to the 15-digit heads and post Journal Entries in **e-Lekha** through the Supplementary-I, II (and e-Lekha Supplementary-III) stages before final submission to the Directorate and the CGA.

37. Verification of balances and examination of accounts. The Postmaster periodically verifies the cash and stamp balances, examines the accounts of subordinate offices and ensures that all transactions are correctly classified and supported.

38. Correction of errors. Errors detected after the accounts have been closed are corrected through **transfer entries / journal entries** with the approval of the competent authority, so that the corrected classification is reflected in the appropriate period without disturbing closed accounts.

CHAPTER V • Railway Mail Service (RMS) Accounts

39. Responsibility for accounts. In the RMS, the **Head Record Office (HRO)** is the accounting unit. The preparation of salary and contingent bills for the entire Division is done at HRO level, and the Superintendent (RMS) is responsible for the correctness of the accounts of the Division.

40. Cash Abstract (ACG-33). The cash transactions of RMS offices are abstracted in the **Cash Abstract (Form ACG-33)**, which records receipts and payments and forms the basis of the RMS office account.

41. Receipts. Receipts in RMS offices (e.g. sale of stamps held on advance, miscellaneous recoveries) are brought to account promptly and classified to the correct head at source.

42. Submission of accounts to the Postal Accounts Office. The HRO submits the Divisional accounts — the cash abstract, schedules and supporting vouchers — to the Circle Postal Accounts Office by the prescribed date for incorporation into the accounts of the Circle.

★ EXAM POINT

In RMS, the **HRO** is the accounting unit (parallel to the HPO in the postal wing); the RMS cash abstract is **Form ACG-33**.

Salary and contingent bills for the **entire RMS Division** are prepared at the **HRO**, not at individual mail offices.

CHAPTER VI • Statutory Taxes — Income Tax (TDS) & GST

A. Income Tax — Tax Deducted at Source (TDS)

43. DDO accountability. The Drawing & Disbursing Officer (or any officer designated as such) is accountable for **deduction of tax at source** on payments and its credit to the Government account. The concept of TDS embodies the principle of “pay as you earn.”

44. Assessment and recovery. Every DDO, including an NCDDO, is responsible for assessment, recovery and filing of returns. Salary is chargeable to income tax on a **due or paid basis, whichever is earlier**. Any arrears of salary paid in a year, if not taxed earlier, are taxable in the year of payment.

45. Deduction under Section 192. Under **Section 192 of the Income-tax Act, 1961**, the DDO deducts income tax at the rate applicable while paying salary during the financial year. The DDO issues to each employee a certificate of tax deducted in **Form No. 16**.

- **No TDS** is deducted on **disability pension** to ex-servicemen.
- The salaried employee may furnish a statement in **Form 12BB** (duly verified) giving particulars of other income, loss under “income from house property,” and claims of deduction under **Chapter VI-A**.

⚡ CURRENCY FLAG

From the assessment year 2024-25, the **new tax regime under Section 115BAC is the default**; an employee must positively opt out to be taxed under the old regime with deductions. Rates of tax, surcharge, rebate under Section 87A and the standard deduction are fixed afresh by the **Finance Act each year** — always apply the rates of the relevant Finance Act.

Source: Income-tax Act 1961 read with the annual Finance Act. Confirm the current year's slab and the default-regime position before computing TDS.

► Classification of income tax recovered

Tax Head	Nature of Deduction
TDS – Salary (192)	Income tax from salary, including all deductions
TDS – 193	Interest on securities
TDS – 194A	Interest other than interest on securities
TDS – 194C	Payments to contractors
TDS – 194H	Commission or brokerage

Tax Head	Nature of Deduction
TDS – 194-I	Rent
TDS – 194EE	Withdrawal from National Savings Scheme (NSS)
Surcharge & Cess	Surcharge and Health & Education Cess, as applicable

46. Collection, classification & returns. The DDO ensures that TDS collected is classified to Major Head 0021 and tallies with the e-schedules. Salary TDS is reported quarterly in **Form 24Q**; the Government-account upload is through **Form 24G**. Non-salary TDS is reported in **Form 26Q**.

🔑 MEMORY AID

Return-form map: 24G & 24Q → salary TDS; 26Q (non-salary). Certificate to employee = **Form 16**; employee declaration of other income / deductions = **Form 12BB**.

B. Goods and Services Tax (GST)

47. Concept. GST is an **indirect, destination-based (consumption-based)** tax on the supply of goods and services. Being destination-based, the revenue accrues to the place where the goods or services are **consumed**. Three levies operate:

Levy	Applicability
CGST	Central GST — the Central Government's share on intra-State supply
SGST / UTGST	State / Union-Territory GST on intra-State supply by a registered person
IGST	Integrated GST on inter-State supply; equals CGST + SGST/UTGST

48. Place of supply & consumption route. The **place of supply** determines whether a transaction is intra-State (CGST + SGST) or inter-State (IGST). Supplies move along the route **B2B → B2C**, the final consumer being the recipient; **no input tax credit** is available to the final consumer.

49. TDS on GST. A Government department (as a notified deductor) deducts **TDS at 2%** (1% CGST + 1% SGST) where the total value of a taxable supply under a contract **exceeds ₹ 2.5 lakh**. The provisions of TDS on GST are in force **with effect from 1st October 2018**.

50. Input Tax Credit (ITC). It is the responsibility of the officer-in-charge of the postal unit to avail eligible **Input Tax Credit** in accordance with the CGST Rules, after ensuring that the inward supply is used in the course or furtherance of business and is not a blocked credit.

⚡ CURRENCY FLAG

ITC eligibility and apportionment are governed by **Sections 16–18 and Rules 42–43 of the CGST framework**, which have been amended several times (including conditions linked to GSTR-2B and the time-limit for availing credit). Verify the current Rule reference and conditions before applying them in a specific case.

Source: CGST Act 2017 and CGST Rules 2017, as amended (latest Finance Act amendments incorporated).

51. Payment of taxes. A regular taxpayer computes the monthly liability by setting off eligible ITC against the outward tax liability and deposits the balance through net-banking, card, NEFT/RTGS or over-the-counter, as permitted. The **Electronic Liability Ledger** shows the total liability, while the **Electronic Cash Ledger** shows amounts deposited towards tax, interest, late fee or penalty.

52. Filing of GST returns. Every registered DDO / NCDDO files the prescribed returns. The Postmaster ensures that CGST / SGST / UTGST / IGST collected and accounted for is remitted in full, tallying with the invoice value and the B2B / B2C classification.

► Late fee and interest

The statutory **late fee under Section 47 of the CGST Act, 2017** for delayed filing is **₹ 100 per day** under the CGST Act, subject to a maximum of **₹ 5,000**; an **equal amount** is leviable under the SGST/UTGST Act. In addition, **interest at 18% per annum** is payable on the tax remaining unpaid.

⚡ CURRENCY FLAG

Through notifications issued under Section 128, the Government has **rationalised** the effective late fee for GSTR-1 / GSTR-3B to about **₹ 25 + ₹ 25 per day** (normal) and **₹ 10 + ₹ 10 per day** for nil returns, with reduced caps; annual-return (GSTR-9) late fee is turnover-linked. The **statutory ceiling** in Section 47, however, remains ₹ 100/day per Act (max ₹ 5,000).

Source: Section 47, CGST Act 2017; CBIC late-fee notifications (verified current). The practical amount auto-computed on the GSTN portal follows the latest notification — confirm before quoting an exact figure.

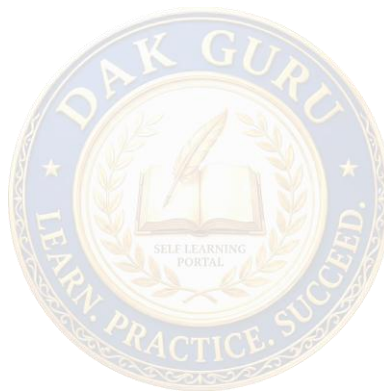
53. Accounts and records. Every registered taxable person maintains the books of account and records for at least **72 months (six years)** from the **due date of furnishing the annual return** for the year concerned.

★ EXAM POINT

TDS on GST: 2% (1%+1%) when contract value > ₹ 2.5 lakh, in force from 01.10.2018.

Record retention: 72 months from the due date of the annual return.

Statutory late fee: ₹ 100/day per Act, max ₹ 5,000; interest 18% p.a. on unpaid tax.



CHAPTER VII • Miscellaneous Charges — Refunds

54. Refund of postage, etc. to the public. Refunds of postage and other charges to the public are made only in the circumstances and to the extent permitted by the rules, on a proper application and after due verification. The refund is treated as a **reduction of the revenue** under which the original receipt was classified, and is supported by the prescribed voucher and sanction of the competent authority.

- Refund is generally admissible where a service could not be rendered, was rendered in error, or where excess has been collected.
- The claim is verified against the original transaction in the system before sanction; the refund voucher carries the audit trail of the original receipt.
- Refunds beyond the Postmaster's competence are sanctioned by the **Divisional Head** or higher authority as per the **Schedule of Financial Powers**.

NOTE

A refund is **not** a fresh expenditure head — it is debited to the **same revenue head** that originally received the amount, so that net revenue is correctly depicted.



CHAPTER VIII • Pension Payments

Scope & Place of Payment

55. Scope and applicability. This Chapter regulates the procedure for payment, at any post office in India, of **service pensions** payable out of the revenues of the Government, subject to the relevant pension law and the orders of the President. “Service pension” includes a **gratuity**.

NOTE

A pension granted on political considerations, for past services, present infirmities or as a compassionate allowance, and money due on such pension, is **not liable to seizure, attachment or sequestration** by any court at the instance of a creditor.

56. Place of payment. Service pensions are paid at any **Head or Sub Post Office** in India, or at any **Branch Post Office** duly authorised by the Director-General. The **first** payment is, however, made at the Head or Sub Post Office in whose jurisdiction the pensioner has elected to receive payment.

Pension Payment Order (PPO)

57. Pension Payment Order (PPO). Payment is authorised by a **Pension Payment Order**, consisting of the **disburser's half** and the **pensioner's half**. The PPO contains the pensioner's particulars, the amount sanctioned, and the specimen signature / thumb impression and identification details.

- **Custody:** the disburser's half is kept in safe custody at the paying office; the pensioner's half remains with the pensioner and is produced at each payment.
- **Procedure on receipt:** on receipt of a PPO the paying office records it in the **Register of Pension Payment Orders** and links the disburser's and pensioner's halves before the first payment.
- **Renewal:** a PPO whose entries are completely filled, or which is worn out, is **renewed** without fresh sanction, the old order being cancelled and retained.
- **Loss of PPO:** on loss of the pensioner's half, a **duplicate** is issued after observing the prescribed safeguards and obtaining the indemnity / declaration required.

58. Register of Pension Payment Orders. All PPOs in payment at an office are entered in the **Register of Pension Payment Orders**, which is reviewed periodically to watch continuance, cessation and transfer of pensions.

Manner & Conditions of Payment

59. Due date. Pension for a month becomes payable on its **due date**, normally on or after the **last working day** of the month to which it relates (with the special arrangement permitted for the month of March, where pension is paid on the first working day of April).

60. Payment of claims & identification. A pension claim is paid after the pensioner is **identified** and furnishes the prescribed **life certificate**. Personal appearance may be **exempted** where the pensioner produces a life certificate signed by an authorised officer (notation of exemption being recorded in the PPO).

61. Life certificate. Continuance of pension is established by a **life certificate**. It may be furnished through authorised officers, and increasingly through the **Jeevan Pramaan (Digital Life Certificate)** facility, which authenticates the pensioner biometrically / through Aadhaar and is accepted in lieu of physical appearance.

⚡ CURRENCY FLAG

Jeevan Pramaan / Digital Life Certificate and the annual “**Digital Life Certificate Campaign**” (including face-authentication and doorstep service through the Postal network and India Post Payments Bank) are now the principal modes of submitting life certificates. The technology, the list of authorised officers and the campaign window are revised periodically — confirm the current procedure.

Source: DoP&PW / India Post Jeevan Pramaan instructions (verify the latest campaign and the accepted modes).

- **Non-resident pensioners:** a pensioner residing outside India may draw pension through an authorised agent who has executed the prescribed **indemnity bond**.
- **Agents with indemnity bonds:** payment to a duly authorised agent is valid for the period covered by the bond and the life certificate.
- **Minors / guardians:** pension on behalf of a minor or person of unsound mind is paid to the **guardian** appointed / recognised for the purpose.
- **Declaration of marriage / remarriage:** a female recipient of family pension furnishes the prescribed declaration regarding remarriage where it affects entitlement.

62. Checks by the Disbursing Officer. Before each payment the Disbursing Officer verifies the identity of the pensioner, the genuineness of the PPO and life certificate, and that the pension has not already been drawn for the period; special precautions are observed in the case of payments through agents.

63. Record of payment. Each payment is recorded on **both halves** of the PPO and in the accounts, so that double payment is impossible and the history of payment is complete.

Gratuity

64. Payment of gratuity. Gratuity sanctioned to a retiring / deceased Government servant is paid on the authority of the gratuity payment order, after adjustment of Government dues. **Retirement gratuity** is payable on completion of the qualifying service prescribed under the pension rules; **death gratuity** is payable to the nominee / family.

⚡ CURRENCY FLAG

The **maximum ceiling of Retirement Gratuity and Death Gratuity has been enhanced from ₹ 20 lakh to ₹ 25 lakh with effect from 1st January 2024**, on Dearness Allowance reaching 50%, under the **CCS (Pension) Rules, 2021** and the **CCS (Payment of Gratuity under NPS) Rules, 2021**.

Source: DoP&PW O.M. No. 28/03/2024-P&PW(B)/Gratuity/9559 dated 30.05.2024. (The ceiling rises by 25% on every 50% rise in DA thereafter — watch for the next revision.)

- **Tax exemption:** retirement / death gratuity to Government servants is exempt from income tax under **Section 10(10)** of the Income-tax Act, subject to the limits in force.
- **Interest on delayed gratuity:** where payment of gratuity is delayed beyond the prescribed period for reasons attributable to the administration, **interest** is payable at the rate notified by the Government.
- **Provisional gratuity:** where final sanction is pending, **provisional gratuity** may be authorised, subject to later adjustment against the amount finally sanctioned.

Lapse, Death, Arrears, Transfer & Accounts

65. Lapse of pension. Pension **not drawn for a continuous period** prescribed by the rules **ceases to be payable** (lapses) and is not paid thereafter without revival by the competent authority; arrears are then regulated by the rules on undrawn pension.

66. Death of pensioner — arrears. On the death of a pensioner, the **arrears** up to the date of death are paid to the **nominee** (where a valid nomination exists) or otherwise to the legal heir, on the prescribed claim and after due verification.

67. Nominations. A pensioner may make a **nomination** for payment of arrears of pension / life-time arrears; the nomination is recorded and given effect to on the pensioner's death.

68. Family pension on death. On the death of the pensioner, **family pension** is authorised to the eligible family member in accordance with the entitlement recorded in the PPO and the pension rules, on submission of the required documents.

69. Cessation and transfer of pension. Pension ceases on the death of the pensioner or on the happening of an event that terminates entitlement. A pension may be **transferred** from one paying office to another on the pensioner's request, the disburser's half and the entries being transmitted to the new office under the prescribed procedure.

70. Accounts, classification & reports. Pension payments are classified to the appropriate head and reported to the **Postal Accounts Office**. POSB-credited pensions, excess / death credits, and recoveries are reconciled, and the prescribed reports are rendered so that the pension account is complete and auditable.

★ EXAM POINT

PPO has two halves — **disburser's half** (kept by the paying office) and **pensioner's half** (kept by the pensioner).

Gratuity ceiling — **₹ 25 lakh** w.e.f. **01.01.2024**; gratuity is tax-exempt under **Section 10(10)**.

Life certificate is increasingly furnished through **Jeevan Pramaan (DLC)**; March pension is paid on the **first working day of April**.

🔑 MEMORY AID

UPS context (2025): The **Unified Pension Scheme (UPS)**, notified on 24.01.2025 and operational from **01.04.2025** as an option under NPS, guarantees **50% of the average basic pay** of the last 12 months for 25 years' qualifying service, with a **minimum ₹ 10,000/month** (10 years' service). It is governed by the **CCS (Implementation of UPS under NPS) Rules, 2025** and PFRDA Regulations dated 19.03.2025 — useful as a current-affairs link to the pension chapter.

CHAPTER IX • Accounts of Other Units (NCDDOs)

71. Non-Cheque Drawing DDOs (NCDDOs). Units such as the **Regional Office, Circle Office, PLI Directorate and the Head Record Office (RMS)** function as **Non-Cheque Drawing DDOs**. An NCDDO prepares its bills and presents them to the linked **Cheque-Drawing DDO / PAO** for payment, and renders its accounts of receipts and expenditure for incorporation into the Circle's accounts.

- An NCDDO is **not vested with cheque-drawing powers**; payment is arranged through the linked CDDO or directly by the PAO through PFMS.
- The NCDDO maintains the prescribed registers and renders monthly accounts, duly classified to the 15-digit heads, to the Postal Accounts Office.
- Salary, contingent and other claims of the NCDDO are processed in the CSI/PFMS environment with classification captured at source.

★ EXAM POINT

NCDDOs = RO, CO, PLI Directorate, HRO (RMS) — they have no cheque-drawing power.

The **HPO** (postal) and **HRO** (RMS) are the primary accounting units; the **PAO** consolidates and submits to the CGA through **PFMS / e-Lekha**.



CHAPTER X • Miscellaneous Subjects

Change in the Status of a Post Office

72. Change in status. Administrative changes — (a) HO to SO, (b) SO to HO, (c) BO to SO, (d) closing / relocation of offices — are given effect on the orders of the competent authority. In the CSI environment a **Service-desk ticket** is raised for the required changes, and a common template feeds the creation of the **Facility ID, Profit / Cost Centre and Plant / Storage** data maintained by Finance & Accounts.

- The balance of the old **Profit Centre (PC)** is transferred to the new PC under the prescribed procedure.
- A **SOL-transfer / Office-Accounts pending-operations report** is generated by the **CPC** to ensure no transaction is left unposted at the time of change.
- On closure / relocation, the cash, stamps, documents and pending items are handed over and the office's accounts are closed and reconciled.

Railway Mail Service Vans

73. RMS vans — haulage and charges. The Department pays **haulage, weightment, interest charges and subsidies** to the Railways for carriage of mails. The **capital cost** of RMS vans is maintained in the **Register of Railway Vans (Form A.C.G.-69)**. Mails are carried in four types of mail vans:

Type of Mail Van	Accommodation Utilised	Berths Paid For
S.W – Full Van	More than 3/4 of the coach	72 berths
S.T – Van	More than 1/2 up to 3/4	54 berths
S.H – Half Van	More than 1/4 up to 1/2	36 berths
S.Q – 1/4 of a Van	1/4 of the coach or less	18 berths

74. Method of payment of haulage charges. Billing is done on a **monthly** basis; bills are to be submitted by the **10th** of the month following that to which they pertain.

The indicative slab rates of haulage (per berth per km) are tabulated below:

Distance Slab	Rate per berth per km	Minimum
0 – 500 km	₹ 1.15	—
501 – 1000 km	₹ 0.73	₹ 575 / km / berth

Distance Slab	Rate per berth per km	Minimum
1001 km and above	₹ 0.61	₹ 730 / km / berth

⚡ CURRENCY FLAG

The haulage rates shown are the **2023-24** slab rates negotiated between the Department of Posts and the Railways. These charges are **revised periodically** by mutual settlement and are not published as a public tariff. **Treat the figures as indicative** and confirm the current rates from the latest Directorate / Railway settlement order before relying on them.

Source: DOP – Railway haulage settlement (2023-24 rates as compiled). Currency not independently verifiable from public tariff.



ANNEXURE A • List of Important Forms (ACG Series)

The following forms recur throughout FHB Volume II and are frequently tested. In the CSI environment the manual forms are largely replaced by their electronic equivalents, but the **form numbers** remain in use:

Form No.	Description
ACG-2	e-Treasurer's Cash Book
ACG-4	Head Office Classified Cash Book
ACG-5	Post Office Cash Account
ACG-28	Register of cheques received and cleared
ACG-33	Cash Abstract at RMS offices
ACG-39	Requisition for purchase of stamps from Treasury
ACG-40	e-Classified Cash Book
ACG-45	Unpaid Postal Abstract Register
ACG-67	e-Money Receipt
ACG-69	Register of Railway Vans (capital cost of RMS vans)
 NOTE	
Remember the “ core four ”: ACG-2 (Treasurer's Cash Book), ACG-4 (HO Classified Cash Book), ACG-5 (PO Cash Account) and ACG-67 (e-Money Receipt). RMS cash abstract is ACG-33 ; Railway vans register is ACG-69 .	

ANNEXURE B • Quick-Revision Capsules & Currency Flags

One-line revision capsules

Topic	Key Fact to Remember
Heads of Account	15-digit CGA structure; Major Head 1201 = Postal Receipts; 0021 = Income Tax
Stamp supply	From PSD (formerly CSD); invoice acknowledged within 3 days; end-to-end electronic
Stock limits	Fixed by Divisional Head (Non-Gz) / DPS (Gp B) / CPMG-PMG (Gp A)
Philatelic Deposit A/c	Security deposit ₹ 200 (confirm current); RMS stamp receipt renewed on 1 April
Treasurer	Joint custody of safe by Postmaster + Treasurer; cash book balanced daily
CSI accounting	Classification at source; no SO/HO consolidation for POS & DPMS
e-Cash Book	View via ZFBL3N; HO classified cash book via S_PL0_86000030
TDS – salary	Section 192; Form 16; Form 12BB; classified to MH 0021; return 24Q
Default tax regime	Section 115BAC new regime is default from AY 2024-25 (apply Finance Act rates)
TDS on GST	2% (1%+1%) when contract value > ₹ 2.5 lakh; w.e.f. 01.10.2018
GST late fee	Statutory ₹ 100/day per Act, max ₹ 5,000; interest 18% p.a.
GST records	Retain 72 months from due date of annual return
PPO	Disburser's half (office) + Pensioner's half (pensioner)
Gratuity ceiling	₹ 25 lakh w.e.f. 01.01.2024; tax-exempt u/s 10(10)
Life certificate	Jeevan Pramaan (DLC); March pension paid 1st working day of April
NCDDOs	RO, CO, PLI Directorate, HRO(RMS) — no cheque-drawing power
RMS vans	S.W/S.T/S.H/S.Q → 72/54/36/18 berths; bills by 10th of next month
Status change	CSI service-desk ticket; balance transferred old PC → new PC

Consolidated Currency Flags (verify before the exam)

⚡ CURRENCY FLAG

Gratuity ceiling → ₹ 25 lakh w.e.f. 01.01.2024 (DoP&PW O.M. dated 30.05.2024; rises 25% on each 50% DA rise).

New tax regime (Sec 115BAC) is the default from AY 2024-25; apply the rates of the current Finance Act.

GST late fee — statutory ₹ 100/day per Act (max ₹ 5,000); rationalised effective rates apply via CBIC notifications.

Stamp depot is now the **PSD** with end-to-end electronic procurement (revised FHB Vol II).

Jeevan Pramaan (DLC) is the principal mode of life-certificate submission; annual DLC campaign window changes.

RMS haulage rates shown are 2023-24 indicative slabs — revised by DOP–Railway settlement; not a public tariff.

UPS operational from 01.04.2025 as an NPS option (CCS (Implementation of UPS under NPS) Rules, 2025).

— **End of Study Material** —

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